Colorado (:)

AUGUST 2026 Gambling Market & Regulatory Brief · Published 15 Oct 2026 (Division of Gaming release; August 2026 proceeds PDF dated 30 Sep 2026) · Currency USD (tables in millions unless stated)

CONFIDENTIAL · INTERNAL
Prepared: 22 Oct 2026
B2Tech · via Merlin

THE ONE-LINE VERDICT

August 2026 was Colorado's first sub-$400m month of the year: handle $388.1m (−7.0% YoY, −20.2% MoM), hold compressed to 8.49%, GGR $32.95m and state tax $3.15m (−14.9% YoY) — the regulator's "+20%" headline refers to fiscal-year-to-date tax, not the month. With the free-bet deduction now effectively nil (tax base ≈ GGR less 0.25% federal excise) and new deposit/marketing restrictions live since 12 Aug 2026, Colorado has moved from a growth market to a mature, 99.5%-online, tighter-margin market in which the NFL season and the prediction-market leak will decide whether FY2027 holds the FY2026 record ($6.4bn handle, >$47m tax).

HANDLE (STAKES), AUG-26	GGR (HANDLE − PAYOUTS)	HOLD (GGR/HANDLE)	NSBP (TAXABLE BASE)	STATE TAX (10% OF NSBP)	FYTD TAX (JUL–AUG 26)
$388.1m	**$32.95m**	**8.49%**	**$31.98m**	**$3.15m**	**$7.72m**
−7.0% YoY / −20.2% MoM	−29.5% MoM (Aug-25 n/a)	−112bp MoM (9.61% in Jul)	−29.8% MoM	−14.9% YoY	+20.2% YoY on FYTD handle +13.6%

1 EXECUTIVE SUMMARY

- **Primary release.** The Colorado Department of Revenue, Division of Gaming published the August 2026 Sports Betting Proceeds report (PDF dated 30 Sep 2026) and a press release on 15 Oct 2026: statewide wagers $388,148,758, payments to players $355,197,529, GGR $32,951,229, net sports betting proceeds (NSBP) $31,983,713 and state tax $3,154,843. All figures are gross of tax, calendar month, regulator-reported.
- **Handle fell 7.0% YoY and 20.2% MoM** to $388.1m — the first month below $400m in 2026 — against $417.2m in Aug-25 (which itself was +12.0% YoY) and a World Cup-inflated $486.3m in Jul-26. On a two-year view August handle is only +4.2% vs Aug-24 ($372.4m): volume growth has stalled.
- **Hold compressed to 8.49%** from 9.61% in July, so GGR fell 29.5% MoM to $32.95m. Parlays/combinations carried the month: $100.1m of handle (25.8%) at a 13.6% hold produced $13.6m, i.e. 41% of all GGR; straight MLB (25.0% of handle) held only 5.8%, basketball 4.9%, and golf and MMA were net losers for the books.
- **Tax take −14.9% YoY to $3.15m** (−30.9% MoM). The Division's headline "tax revenues up 20%" refers to fiscal-year-to-date (Jul–Aug) tax of $7.72m (+20.2%) on FYTD handle of $874.5m (+13.6%); both are flattered by the July World Cup (Jul-26 handle +38.0% YoY, tax +68.0%). Strip July out and the underlying trend is negative.
- **FY2026 (Jul-25–Jun-26) was a record:** the Division reports >$47m of sports betting tax for the fiscal year and trade sources corroborate a ~$6.4bn handle; FY2026 GGR was not retrieved [n/a]. The $47m is the first full year in which the state kept everything above the old $29m Prop DD cap (Proposition JJ, Nov-2024).
- **Online is the market: 99.5% of handle** ($386.2m online vs $2.0m retail). Retail sportsbooks are legally confined to the casinos of Black Hawk, Central City and Cripple Creek (c. 1 hour from Denver), so a land-based channel is immaterial for brand building or cash deposits.
- **Tax regime — base now effectively GGR.** Tax is 10% of NSBP, where NSBP = GGR less the 0.25% federal excise less a capped free-bet deduction. The GGR→NSBP gap was 0.249% of handle in August and 0.245% in July — exactly the federal excise — implying the free-bet deduction has phased to ~nil from 1 Jul 2026 (the HB24-1436 step-down accelerated by subsequent legislation; bill reference [unverified]). Effective tax: 9.6% of GGR, 0.81% of handle (vs 0.64% in Aug-24).
- **Tax cap removed, upside retained by the state.** Prop DD (2019) capped sports betting tax at $29m/yr; Prop JJ (Nov-2024) lets the state keep all revenue above that for the Colorado Water Plan. Because TABOR requires voter approval for a rate increase, the political path of least resistance is base-broadening (promo deductions) rather than a headline rate hike — which is what has happened.
- **Licensing is casino-tethered.** Sports betting master licences are reserved to holders of Colorado retail (limited gaming) casino licences (cap ~33 [count unverified]); each master licence may contract one internet sports betting operator and one retail sports betting operator; licences run two years. Fee schedule not verified in this session [n/a]. Minimum age 21; statewide mobile with remote registration; individual college-athlete prop bets prohibited; eSports permitted ($4.45m handle in August).
- **Operator landscape is opaque by design.** Colorado publishes no operator-level handle or GGR, so market shares are not knowable from primary data; ~15 online brands are reported live [unverified], with FanDuel and DraftKings presumed to hold a combined >60% on national patterns (estimate, not Colorado-reported). Churn of tethers (e.g. ESPN Bet's national closure in Dec-2025 [unverified]) keeps master-licence capacity available for new entrants.
- **New consumer-protection law in force since 12 Aug 2026.** Governor Polis signed legislation on 2 Jun 2026 imposing new limits on sports betting, reported by Axios/Colorado Newsline/Colorado Politics as deposit and marketing restrictions; the enrolled provisions were not read in this session [unverified]. August is therefore the first month that partially reflects the regime; May-26 handle was already −5.3% YoY per trade reporting.
- **Payments.** Colorado has historically been one of the minority of US states permitting credit-card deposits alongside ACH/online banking, debit, PayPal, Play+/prepaid and cash at the casino cage; whether the 2026 statute curtails credit cards is [unverified] and is the single most important payments question for a new entrant.
- **Responsible gambling and advertising.** The Division runs BetSmart.Colorado.gov and the 1-800-GAMBLER line, a statewide self-exclusion programme, requires RG messaging in advertising and bars targeting under-21s; August 2026 was Responsible Gaming Education Month, with the Division explicitly pairing the record tax year with a safer-gambling campaign — the tone of regulation is tightening, not loosening.
- **Land-based gaming is a separate, healthy pool.** Limited gaming (casino) taxes hit a record >$185m in FY2026; August 2026 casino taxes were reported >100% up YoY, which under the graduated 0.25%–20% AGP tax (brackets reset every 1 July) is largely bracket timing [AGP n/a].

iGaming is not authorised and would require a new statute and, for any tax, a statewide vote.

- **Enforcement and political direction.** Direction of travel is (i) broaden the tax base (done), (ii) tighten deposit/marketing conduct (done, Aug-26), (iii) protect Water Plan revenue (Prop JJ). No rate-increase pressure given TABOR; the open regulatory front is federally-regulated sports event contracts (prediction markets), whose leakage from state-taxed handle Colorado cannot currently measure [stance unverified].
- **Read-through for B2Tech.** Colorado is an attractive but mature, digital-only state: low nominal tax (10%) but on an almost-full GGR base, cheap market access via a casino tether, deep product permissions (parlays, eSports, table tennis/tennis volume), and no retail requirement. Growth is now hold- and product-driven (SGP/parlay share) rather than acquisition-driven; a late entrant must model flat-to-down handle ex-World Cup, ~8.5–9.5% hold, and marketing constrained by the new statute.
- **Data gaps to close before any commitment:** Aug-25 GGR/NSBP (only handle and tax were verified), FY2026 GGR, the operator roster and master-licence utilisation, the licence fee schedule, and the text of the June 2026 statute — all flagged [unverified] in this brief.

2 MARKET SUMMARY

COLORADO SPORTS BETTING – US$M (REGULATOR-REPORTED)	AUG-26	JUL-26	MOM	AUG-25	YOY	FYTD JUL–AUG 26	FYTD YOY
VOLUME							
Handle (stakes), statewide	**388.1**	**486.3**	**−20.2%**	**417.2**	**−7.0%**	**874.5**	**+13.6%**
of which online	386.2	485.0	−20.4%	n/a	n/a	871.2	n/a
of which retail (casino sportsbooks)	2.0	1.3	+45.8%	n/a	n/a	3.3	n/a
Online share of handle	99.5%	99.7%	−0.2pp	n/a	n/a	99.6%	n/a
Payments to players	355.2	439.6	−19.2%	n/a	n/a	794.8	n/a
REVENUE & TAX							
GGR (handle − payouts)	**32.95**	**46.73**	**−29.5%**	**n/a [unverified]**	**n/a**	**79.68**	**n/a**
of which online	32.56	46.69	−30.3%	n/a	n/a	79.25	n/a
of which retail	0.40	0.04	n.m.	n/a	n/a	0.44	n/a
Hold (GGR / handle)	8.49%	9.61%	−112bp	n/a	n/a	9.11%	n/a
Deductions (0.25% federal excise + free bets) Gap = 0.249% (Aug) and 0.245% (Jul) of handle, i.e. the federal excise alone — free-bet deduction effectively nil from FY2027.	0.97	1.19	−18.9%	n/a	n/a	2.16	n/a
NSBP (taxable base)	**31.98**	**45.54**	**−29.8%**	**≥37.1 (implied from tax)**	**≤−13.7%**	**77.52**	**n/a**
State tax (10% of NSBP)	**3.15**	**4.56**	**−30.9%**	**3.71**	**−14.9%**	**7.72**	**+20.2%**
Tax / handle	0.81%	0.94%	−13bp	0.89%	−8bp	0.88%	+5bp
Tax / GGR (effective)	9.6%	9.8%	−20bp	n/a	n/a	9.7%	n/a
FULL-YEAR & REGIME							
FY2026 (Jul-25–Jun-26) sports betting	Handle ~$6.4bn (record, trade-corroborated); tax >$47m (record, regulator); GGR n/a						
Limited gaming (casinos)	FY2026 tax >$185m (record, regulator); Aug-26 tax >+100% YoY (bracket timing); AGP n/a						
Tax base / rate	10% of NSBP; base = GGR − 0.25% federal excise − free bets (now ~nil); $29m cap lifted by Prop JJ (2024)						
Online operators live	~15 brands [unverified]; no operator-level disclosure						
Master licences	Tied to casino retail licences (cap ~33 [unverified]); 1 online + 1 retail operator per master; 2-year term						
Licence fees	n/a [unverified in session]						

3 DEEP-DIVE — ONLINE SPORTS BETTING (99.5% OF THE MARKET)

Handle −7% YoY to $386.2m online, hold 8.43%; parlays are now 41% of GGR and the only product with structural margin.

ONLINE VOLUME AND TAX

Online handle was $386,185,784 in August 2026, down 20.4% from July and 7.0% YoY statewide; hold 8.43%.

- Online wagers were 99.49% of the statewide $388.1m; July online handle was $485.0m.
- Online GGR $32,555,783, online NSBP $31,593,108, online tax $3,144,042 — 99.7% of all sports betting tax.
- The retail channel is a rounding error; any model of Colorado is a model of mobile.

MONTH-ON-MONTH DRIVERS

The MoM fall is almost entirely parlays (−$66.3m) and soccer (−$40.7m) as the World Cup unwound; YoY decline cannot be blamed on calendar.

- Parlays/combinations fell $66.3m (−39.9%) to $100.1m; soccer fell $40.7m (−64.9%) to $22.0m.
- The Division had reported World Cup wagering up almost 250% on the 2022 tournament.
- Pro football started: NFL $25.9m from $1.1m, NCAA football $3.1m; 'Other' rose to $15.2m.
- August 2025 had no World Cup either, and still took $417.2m.

HOLD AND PARLAY MIX

Statewide hold fell to 8.49% from 9.61%; parlays held 13.6% and produced $13.6m, 41% of GGR on 26% of handle.

- Straight-market products were thin: MLB 5.8% on $97.1m, basketball 4.9% on $47.6m, tennis 7.4%, table tennis 6.8%, soccer 7.8%.
- Golf (−3.0%) and MMA (−0.3%) were negative for the books.
- NFL preseason/early-week held 14.7% and NCAA football 27.6% on tiny bases.
- Colorado GGR is now a parlay/SGP product-mix outcome; without a competitive same-game-parlay engine an operator competes for low-hold straight handle against FanDuel/DraftKings pricing.

PRODUCT CALENDAR

The product calendar is unusually broad: tennis ($34.8m, 9.0%) and table tennis ($25.7m, 6.6%) together exceed soccer.

- eSports ($4.45m) is permitted — a 24-hour liquidity profile that suits in-play and micro-market suppliers.
- Individual college-athlete props remain prohibited; the Division's catalogue of approved events governs what can be offered.

YOY GGR AND TAX GAP

YoY GGR cannot be computed because August 2025 GGR was not retrieved [unverified]; NSBP fell at least 13.7% YoY on a 7.0% handle decline.

- Tax at 10% implies August 2025 NSBP of at least $37.1m — consistent with a lower hold this August.
- Aggregate tax (9.86% of NSBP) is below 10% because operators with negative monthly NSBP owe nothing; losses are operator-specific and not pooled.

OPERATOR SHARES AND CHURN

Operator shares are not disclosed by the Division; brand churn means master-licence tethers are available for a new entrant without building a casino.

- No primary market-share data exists for Colorado; any third-party share figures are estimates.
- Live online brands number ~15 [unverified]; WynnBET, SuperBook, Tipico, SI Sportsbook and Betr left in 2023–24.
- ESPN Bet closed nationally in Dec-2025 [unverified].

BY SPORT – AUG-26 (STATEWIDE, US$M)	AUG-26 HANDLE	SHARE OF HANDLE	AUG-26 GGR	HOLD	JUL-26 HANDLE	MOM HANDLE
Parlays / combinations	**100.08**	**25.8%**	**13.61**	**13.6%**	**166.38**	**−39.9%**
Baseball (MLB)	97.10	25.0%	5.60	5.8%	103.08	−5.8%
Basketball	47.56	12.3%	2.32	4.9%	55.76	−14.7%
Tennis	34.82	9.0%	2.59	7.4%	47.52	−26.7%
Football – pro (NFL)	25.86	6.7%	3.81	14.7%	1.15	22.6x
Table tennis	25.67	6.6%	1.74	6.8%	26.66	−3.7%
Soccer	21.99	5.7%	1.71	7.8%	62.66	−64.9% (World Cup unwind)
Golf	7.20	1.9%	−0.21	−3.0%	6.30	+14.3%
MMA	5.11	1.3%	−0.02	−0.3%	5.27	−3.0%
eSports	4.45	1.1%	0.24	5.5%	4.24	+4.9%
NCAA football	3.08	0.8%	0.85	27.6%	n/a (in Other)	n/a
Other (incl. cricket)	15.22	3.9%	0.70	4.6%	7.32	+108%
Total statewide	**388.15**	**100%**	**32.95**	**8.49%**	**486.33**	**−20.2%**
of which online	386.19	99.5%	32.56	8.43%	484.99	−20.4%

4 DEEP-DIVE — RETAIL SPORTSBOOKS & LAND-BASED CASINOS (LIMITED GAMING)

Retail sports betting is 0.5% of handle and confined to three mountain towns; the casino pool is separately healthy with a record >$185m FY2026 tax.

RETAIL SPORTS BETTING

Retail wagering was $1,962,974 in August (0.51% of statewide handle), GGR $395,446 on a 20.15% hold — small-base volatility.

- July retail handle $1,345,969, GGR $40,201, hold 2.99%; the volatility says nothing about trend.
- Retail NSBP $390,605 and retail tax $10,801.
- Parentheses around retail and online sub-totals in the proceeds PDF are a formatting artefact, not losses; wagers less payouts confirm both positive.

RETAIL CHANNEL LIMITS

Retail sports betting is confined to casinos in Black Hawk, Central City and Cripple Creek, so it cannot serve as an acquisition touchpoint.

- Two tribal casinos operate under compact, outside state reporting.
- No track, bar or lottery-retail channel — unlike Nevada, Ohio or Illinois — so no cash-deposit or acquisition role for an online brand.
- For an entrant, the retail skin that comes with a master licence has option value only.

LIMITED GAMING CASINOS

Limited gaming is the larger land-based pool, with record taxes of more than $185m for FY2026.

- Games: slots, blackjack, poker, craps, roulette and, since Amendment 77 in 2020, unlimited bet sizes where towns opt in.
- The 13 Oct 2026 release said August 2026 casino taxes collected were up more than 100% year-on-year.
- Tax is graduated 0.25% to 20% of AGP on a fiscal-year cumulative basis resetting 1 July, so July/August effective rates are structurally low.
- The doubling is most plausibly bracket timing and collections phasing rather than a doubling of AGP [August AGP n/a; not retrieved].

STRATEGIC IMPLICATIONS

The casino licence is the gateway: ~33 casino operators [count unverified] are the counterparties for market access and are not distressed sellers.

- Master sports betting licences are reserved to limited gaming licensees.
- Casinos' own retail economics (record tax year) mean they are not distressed sellers of tethers.
- iGaming is not authorised; given TABOR, any tax on it would require a statewide vote — do not model an online casino cross-sell.

RETAIL SPORTS BETTING & CASINOS	AUG-26	JUL-26	MOM	NOTE
Retail sports handle ($m)	1.96	1.35	+45.8%	0.51% of statewide handle
Retail sports GGR ($m)	0.40	0.04	n.m.	Wagers − payouts; positive despite parentheses in PDF
Retail hold	20.15%	2.99%	+17.2pp	Small-base volatility
Retail NSBP ($m)	0.39	0.04	n.m.	
Retail sports tax ($k)	10.8	9.2	+17.4%	0.3% of total sports tax
Retail locations	Black Hawk, Central City, Cripple Creek			Plus 2 tribal casinos (compact; not in state data)
Limited gaming AGP ($m)	n/a	n/a	n/a	Not retrieved in session
Limited gaming tax, Aug-26	>+100% YoY (regulator headline)			Graduated 0.25–20% of AGP; brackets reset 1 Jul → timing
Limited gaming tax, FY2026	>$185m (record)			Regulator headline
iGaming	Not authorised			Would need statute + TABOR vote for tax

5 DEEP-DIVE — LICENSING & TAX REGIME

10% of NSBP on a base that is now ≈ GGR less 0.25% excise; casino-tethered two-year licences; cap on tax receipts removed by Prop JJ; rate hikes need a statewide vote.

REGULATORY ARCHITECTURE

Casino-centric regime: master licences only for licensed retail casinos, capping online brands at the number of casino licences (~33 [unverified]).

- Authorised by Proposition DD (Nov-2019) and HB19-1327; retail and online launched 1 May 2020.
- Regulator is the Division of Gaming within the Department of Revenue; the Colorado Limited Gaming Control Commission is licensing and rule-making authority.
- Each master licence may contract with one internet sports betting operator and one retail sports betting operator.
- Operators and major/minor vendors (platform, data, geolocation, KYC) are licensed separately; terms are two years.
- Fee schedule not verified, shown as n/a; historically modest versus Pennsylvania/New York entry fees, but do not plan on a figure until confirmed.

TAX BASE

Tax is 10% of NSBP; promotional deductions are practically gone, so Colorado now taxes 10% of GGR less excise, 9.6% effective.

- NSBP is GGR less the 0.25% federal excise on handle and a free-bet deduction HB24-1436 stepped down from 2.5% (FY2025) to 2.25% (FY2026), later accelerated [bill reference unverified].
- August 2026 GGR less NSBP was $967,517, or 0.249% of handle; July's gap was 0.245% — the federal excise alone.
- Effective tax was 0.81% of handle in August (0.64% in Aug-24, 0.89% in Aug-25).
- Still a low-rate state, but losing tax write-offs for bonuses penalises acquisition-heavy launch strategies.

PROP JJ AND FISCAL RISK

Prop JJ (Nov-2024) removed the $29m receipts cap; realistic fiscal risk is base-broadening or fee increases, not a rate jump from 10%.

- Prop DD capped state receipts at $29m a year with excess refundable under TABOR; FY2026 (>$47m) was the first full uncapped year.
- Excess now funds the Colorado Water Plan grant programme; releases are framed around water funding (e.g. San Miguel Watershed wildfire-readiness grant).
- This embeds a political constituency for stable, growing sports betting tax.
- TABOR requires voter approval for rate increases — materially better than Illinois (graduated to 40%, per-wager surcharge) or Ohio/Maryland-style doubling.

FISCAL YEAR-TO-DATE

FYTD (Jul–Aug 2026) handle of $874.5m is +13.6% YoY but tax of $7.72m is +20.2%, lifting tax/handle to 0.88% from 0.83%.

- Aggregate tax runs slightly below 10% of aggregate NSBP (9.86% in August) because operators with negative monthly NSBP pay nothing.
- Losses are not pooled across licensees — a feature favouring scaled, diversified books over sub-scale ones in volatile months.

OTHER LICENCE CONDITIONS

Minimum age 21, remote registration with statewide geolocation, and prohibitions on high-school events and college-athlete props.

- No wagering on Colorado high-school events; individual college-athlete props prohibited.
- eSports and non-traditional events (table tennis, cricket) permitted subject to the approved-event catalogue.
- Fantasy contests licensed under a separate Fantasy Contests Act.

LICENSING & TAX REGIME – COLORADO	COLORADO RULE	VERIFICATION
Enabling law	Proposition DD (Nov-2019) / HB19-1327; launch 1 May 2020	Background; not re-verified
Regulator	Division of Gaming (Dept of Revenue); Limited Gaming Control Commission (rules, licences)	Verified (regulator site)
Licence types	Master (casino only); Sports Betting Operator (retail); Internet Sports Betting Operator; Vendor Major / Minor	Background; not re-verified
Tether / skins	1 online + 1 retail operator per master licence; masters capped by casino licences (~33)	[unverified count]
Licence term	2 years	Background
Licence fees	n/a	[unverified in session]
Tax base	NSBP = GGR − 0.25% federal excise − free-bet deduction (now ~nil)	Verified from Jul/Aug-26 data
Tax rate	10% of NSBP (≈9.6% of GGR; 0.81% of handle in Aug-26)	Verified
Free-bet deduction	2.5% of handle FY25 → 2.25% FY26 → effectively 0 from Jul-26	Step-down (HB24-1436) background; zero inferred from data; accelerating bill [unverified]
Receipts cap	$29m/yr under Prop DD; lifted by Prop JJ (Nov-2024)	Background
Use of funds	Colorado Water Plan grants; hold-harmless fund; problem-gambling allocation	Verified (water); others background
Rate-change mechanism	TABOR: voter approval required for rate increase	Background
Minimum age / registration	21; remote registration; statewide geolocation	Background
Product limits	No CO high-school events; no individual college-athlete props; eSports permitted	Background; eSports verified in data
iGaming	Not authorised	Background

6 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & THE 2026 STATUTE

New deposit and marketing restrictions in force since 12 Aug 2026; credit-card deposits historically allowed; regulator rhetoric has pivoted from growth to safer-gambling.

2026 STATUTE

New deposit and marketing limits signed 2 June 2026 took effect 12 August 2026; August, the first month under them, was −7.0% YoY.

- Specific mechanisms (deposit-limit prompts, bonus-advertising restrictions, credit-card status, push-notification limits) are [unverified]; confirm from the enrolled bill before any product or CRM build.
- Trade reporting had May-26 handle −5.3% YoY 'as new deposit and marketing rules take shape'.
- Some operators appear to have adjusted promotional intensity ahead of the effective date.

PAYMENTS

Colorado payments have been among the most permissive in the US; whether the June 2026 statute bans credit cards is the key open question [unverified].

- Credit cards accepted alongside ACH/online banking, debit, PayPal, Play+/prepaid, Venmo/Apple Pay-type wallets and cash at the cage or PayNearMe.
- Several states have banned credit cards since 2024.
- Expect a higher share of debit/ACH, lower deposit conversion on instant wallets, and more friction from statutory limit prompts.

RESPONSIBLE GAMBLING AND ADVERTISING

RG infrastructure is regulator-led rather than levy-led, and the political framing has shifted toward safer gambling.

- Division operates BetSmart.Colorado.gov, promotes 1-800-GAMBLER, runs self-exclusion and allocates a slice of tax to problem-gambling services [amount unverified].
- Advertising rules require RG messaging, prohibit targeting under-21s and (per 2023 rule changes [unverified]) 'risk-free' terminology.
- The 29 Aug 2026 release paired the record >$47m tax year with Responsible Gaming Education Month.
- The state wants the water money but will not be seen to chase it.

> *"record tax haul renews gambling safety concerns"* — **Press coverage**

ENFORCEMENT AND PREDICTION MARKETS

Enforcement is administrative rather than punitive, but untaxed CFTC-regulated prediction markets are an invisible competitive leak.

- The Division publishes monthly data, approves event catalogues and vendors, and has not been a headline fining regulator; the 2026 statute hands it new conduct levers.
- Sports event contracts on prediction markets are untaxed in Colorado and invisible in Division data; enforcement stance [unverified].
- The −7% August print is at least partly consistent with leakage.

IMPLICATIONS FOR B2TECH

Design for the post-12-Aug rules from day one across CRM, payments, RG tooling and marketing budget.

- CRM and bonus programme with no reliance on tax-deductible free bets.
- Payments stack weighted to ACH/debit with contingency for a credit-card ban.
- Auditable RG tooling (deposit limits, time-outs, self-exclusion integration), since the Division's tone is now protective.
- Marketing budget assuming advertising restrictions tighten further before they loosen.

PAYMENTS, RG & ADVERTISING – RULES AND STATUS	RULE / PRACTICE	STATUS
June 2026 statute	Signed 2 Jun 2026; in force 12 Aug 2026; deposit & marketing restrictions	Headlines verified; provisions [unverified]
Credit-card deposits	Historically permitted	Post-statute status [unverified]
Other deposit methods	ACH/online banking, debit, PayPal, Play+/prepaid, cash at cage, PayNearMe	Background
Registration / geolocation	Remote sign-up; statewide geofence; 21+	Background
Self-exclusion	Statewide programme run by Division	Background
RG messaging in ads	Required; no targeting under-21; 'risk-free' language barred	Background; 2023 rule [unverified]
Helpline / portal	1-800-GAMBLER; BetSmart.Colorado.gov	Verified (regulator release)
Problem-gambling funding	Allocation from sports betting tax	Amount [unverified]
RG Education Month	Aug-2026 campaign with AGA	Verified (regulator headline)
Prediction markets	Untaxed federal sports event contracts; CO stance	[unverified]

7 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Pure-digital market: 99.5% of $388.1m August handle is online; remote registration and statewide geolocation mean a new brand needs no retail footprint and can scale on product alone. structural
- Low nominal tax with a voter-locked rate: 10% of NSBP (9.6% of GGR; 0.81% of handle in Aug-26) and any increase requires a TABOR statewide vote — a structural brake absent in Illinois, Ohio or Maryland. structural
- Cheap, available market access: master licences are casino-tethered (one online skin each) and exits since 2023 (incl. ESPN Bet, Dec-25 [unverified]) have freed tethers; no beauty-contest or capped-licence auction. mixed
- Broad product permissions and liquidity: parlays 25.8% of handle at 13.6% hold (41% of GGR), tennis + table tennis $60.5m (15.6%), eSports $4.45m — a 24-hour calendar that rewards SGP and in-play capability. structural
- Scale and recency of the record: FY2026 handle ~$6.4bn and tax >$47m; FYTD Jul–Aug 26 handle +13.6% and tax +20.2% (World Cup-assisted) show demand elasticity to major events. one-off
- Retail casino pool is healthy (record >$185m FY2026 limited gaming tax), so casino partners are stable counterparties rather than distressed tether sellers. structural

▼ LOWLIGHTS

- Demand is softening: August handle −7.0% YoY (first month <$400m in 2026), only +4.2% vs Aug-24; trade data had May-26 −5.3% YoY — growth has stalled ahead of the NFL season. watch
- Free-bet deduction effectively eliminated from FY2027 (GGR→NSBP gap = 0.25% excise only); acquisition spend no longer shelters tax, raising the effective rate on launch-phase books. structural
- New deposit and marketing restrictions in force since 12 Aug 2026 with provisions not yet verified — CRM, bonusing and payments design carry regulatory execution risk. structural
- Hold volatility and parlay dependence: statewide hold 8.49% (−112bp MoM); straight MLB/NBA held 5–6%, golf and MMA negative; tax fell 14.9% YoY on a 7.0% handle decline. mixed
- Opaque competitive data: the Division publishes no operator-level figures, so shares (FanDuel/DraftKings presumed >60%) cannot be verified and sub-scale P&Ls are not pooled for tax (operators with negative NSBP get no offset). governance
- Retail is immaterial (0.5% of handle) and confined to three mountain towns — no land-based acquisition or cash-deposit channel; iGaming not authorised and would need a statewide vote. structural
- Untaxed prediction-market sports contracts are invisible in state data and a plausible contributor to the YoY decline; Colorado's enforcement stance is unverified. watch

8 FORECAST & OUTLOOK

Guidance bridge. There is no company guidance to bridge; the relevant bridge is the regulator's month-on-month volume print. Colorado went from a World Cup-inflated $486.3m in July 2026 to $388.1m in August, with the entire decline in parlays (−$66.3m) and soccer (−$40.7m), partly offset by the NFL/NCAA kick-off (+$27.8m) and a drag from baseball, basketball, tennis and table tennis (−$27.9m net of golf/MMA/eSports/other gains of +$8.9m). Year-on-year, the −7.0% handle and −14.9% tax prints are the first post-statute (12 Aug 2026) reading and the first fiscal-year data with no free-bet deduction; the FYTD +13.6%/+20.2% headline is a July artefact.

JUL-26 HANDLE	PARLAYS & WORLD CUP SOCCER UNWIND	FOOTBALL KICK-OFF +$27.8M; OTHER SPORTS NET −$19.0M	AUG-26 HANDLE
$486.3m	**−$107.0m**	**+$8.8m**	**$388.1m**
World Cup month; +38.0% YoY	Parlays −39.9%, soccer −64.9%	NFL 22.6x; MLB/NBA/tennis/TT lower	−20.2% MoM; −7.0% YoY

Independent view. Handle: FY2027 (Jul-26–Jun-27) will struggle to beat the FY2026 record. July's +38% is already banked, but a repeat of −5% to −7% YoY through the NFL season leaves our estimate at **$6.1–6.5bn (−5% to +2%)** — the NFL/NCAA months (Sep–Jan, typically ~55% of annual handle) are the swing. **Margin:** expect hold of **8.8–9.3%** for the year as parlay/SGP share rises structurally but straight-market variance persists, giving GGR of roughly **$540–600m (estimate)**. **Tax take:** with NSBP ≈ GGR less 0.25% excise, state tax should still rise to **$48–54m (estimate)** even on flat-to-down handle, because the deduction removal adds roughly 0.1pp of handle to the base versus FY2026; the regulator will keep framing this as water funding. **Rules direction:** tighter, not looser — implementation guidance under the 12 Aug statute, further advertising constraints, continued pressure on credit-card deposits, and a possible fee review at the next licence-renewal cycle; a rate increase is improbable given TABOR. **Swing factors:** prediction-market leakage and any Colorado enforcement action; FanDuel/DraftKings pricing of SGPs; Denver/Front Range team playoff runs; and whether the Division adds operator-level disclosure (unlikely near term).

What to watch next quarter:

- September and October 2026 proceeds reports (release ~mid-Nov/mid-Dec): first full NFL months under the new statute — a YoY handle decline >5% would confirm a structural, not calendar, slowdown.
- Text and Division implementation rules of the June 2026 statute (effective 12 Aug 2026): deposit-limit mechanics, bonus/inducement advertising limits and credit-card status — all currently [unverified].
- Confirmation of the free-bet deduction schedule for FY2027 onward (statutory reference) and the resulting effective tax rate on GGR for launch-phase operators.
- Colorado's posture toward CFTC-regulated sports event contracts (cease-and-desist, litigation or silence) and any measurable handle leakage.
- Master-licence utilisation and tether availability after 2025–26 brand exits; licence fee schedule at renewal; any 2027 General Assembly bills on advertising, iGaming or fees.
- Limited gaming August–December AGP prints to confirm the >100% August tax jump is bracket timing rather than a step-change in casino revenue.

DATA CONFIDENCE: MEDIUM Reporting currency is USD; no FX conversion required. HIGH confidence on Aug-26 and Jul-26 handle, payouts, GGR, NSBP, tax, hold, channel split and sport mix (read directly from the Division of Gaming proceeds PDFs and its 15 Oct 2026 release) and on Aug-25/Aug-24 handle and tax (Division's Sept-2025 release). MEDIUM/LOW on: Aug-25 GGR/NSBP (not retrieved; NSBP implied from tax), FY2026 GGR (n/a), FY2026 handle ($6.4bn, trade-corroborated; regulator release headline only), operator count/shares, master-licence cap, licence fees, the statutory reference for the accelerated free-bet phase-out (inferred from data), and the provisions of the June 2026 statute — all marked [unverified]. Web access was exhausted mid-research, so several regulatory details rest on headlines and analyst background rather than documents read in this session.

Sources: [Primary] Colorado Division of Gaming – August 2026 Sports Betting Proceeds Report (PDF, dated 30 Sep 2026); [Primary] Colorado Division of Gaming – July 2026 Sports Betting Proceeds Report (PDF); [Primary] Colorado Division of Gaming press release, 15 Oct 2026 – 'Colorado Sports Betting Tax Revenues for August 2026 Up 20% Compared to August 2025' (FYTD basis; monthly tables); [Primary] Colorado Division of Gaming press release, Sept 2025 – 'Colorado Sports Betting Continues Strong Performance in August' (Aug-25/Aug-24 handle and tax); [Primary] Colorado Division of Gaming – Sports Betting Monthly Reports index; [Primary] Colorado SBG Media Center – release headlines: FY2026 record >$47m sports betting tax (29 Aug 2026); World Cup +~250% (31 Aug 2026); Limited gaming FY2026 tax >$185m; Limited gaming August taxes >+100% (13 Oct 2026); [Secondary] Gaming Intelligence, 20 Oct 2026 – 'Colorado sports wagers drop below $400 million in August' (lead; paywalled beyond headline); [Secondary] Bonus.com, Aug 2026 – 'Colorado Sports Betting Hits $6.4B Record, Tops $47M in Taxes' (FY2026 corroboration; headline only); [Secondary] Sportsbook Review, 4 Aug 2026 – 'Colorado Records $6.4 Billion Sports Betting Handle in FY26' (corroboration; headline only); [Secondary] Colorado Politics, 2 Jun 2026 – 'Gov. Jared Polis signs law imposing new limits on sports betting in Colorado' (headline only); [Secondary] Axios Denver, 11 Aug 2026 – 'Colorado sports betting restrictions take effect Wednesday' (headline only); [Secondary] Colorado Newsline, 12 Aug 2026 – 'Colorado laws around sports betting, social media search warrants take effect' (headline only); [Secondary] LegalSportsBetting.com, 19 Oct 2026 – 'Free Bet Phaseout Protects Colorado Sports Betting Taxes' (headline only); [Secondary] Gambling.com, Sept 2026 – 'Colorado's Record $47M Sports Betting Tax Haul Renews Gambling Safety Concerns' (headline only); [Secondary] PaymentsHighRisk, Jul 2026 – 'Colorado sports betting handle fell 5.3% YoY in May as new deposit and marketing rules take shape' (headline only).

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.